

Conference Call Notes: MENA Crisis and Oil Update

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Conference Call Note

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MENA Crisis and Oil Update

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The Houthi seizure of Yemen's western coast is a significant setback for Saudi Arabia, with escalation a real possibility (40% odds) given Crown Prince Mohammed bin Salman's difficult negotiating position and maximalist Houthi demands.

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Saudi Arabia's East-West Pipeline, with a capacity of 3-4 million barrels per day, is currently offline, while Brent spiked to \$108 per barrel and is holding above \$100, with several additional upward price pressures in play.

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The US-Iran standoff is expected to persist through year-end, as neither side is prepared to negotiate, and the summit between Iran and the Gulf Cooperation Council (GCC) in Oman on 14 September is unlikely to produce a substantive breakthrough without US concessions.

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Saudi Arabia's Strategic Dilemma

The Houthi rout of the Giants Brigades — Saudi-backed Yemeni ground forces — has left Riyadh with few viable military options. The collapse of those forces was driven in part by factionalization: southern elements within the brigades chose to fall back to defend their historical homeland rather than fight. Without a credible ground force and knowing the significant risks of an air campaign — including Houthi retaliation against Aramco and potential attacks from Iraqi Popular Mobilization Forces (PMF) backed by the Iranian Islamic Revolutionary Guard Corps (IRGC) — the military option is unattractive to the Saudis.

The Iraqi government's 30 September deadline to disarm the PMF is very unlikely to be met, leaving a second threat vector against Saudi Arabia's Eastern Province intact. Saudi officials have been explicit about the risk to Aramco should Riyadh escalate.

Diplomacy as Base Case, Escalation as Tail Risk

Diplomacy is the base case. The Saudi Foreign Minister has already called his Omani counterpart, and a GCC-Iran foreign ministers' summit in Salalah, Oman on Monday — planned before the Houthi offensive — is proceeding with Saudi and UAE participation confirmed. Oman remains the most likely diplomatic conduit.

We give 40% odds to escalation. The Houthis' maximalist demands — 70% of oil revenues from government-controlled areas, billions in war reparations, full lifting of air restrictions (effectively restoring an Iran air bridge), and payment of public sector salaries in Houthi-controlled territory — are unlikely to soften following military success. This makes diplomacy harder and raises the probability of Saudi military action to recapture territory, particularly given the reputational damage of the rout and questions around the non-activation of the Mecca defensive alliance with Turkey and Pakistan.

Crown Prince Mohammed bin Salman (MBS) has made at least two calls to President Donald Trump requesting assistance. Trump has declined direct involvement but left the option open. The Saudi Defense Minister met Trump approximately one month ago; Trump expressed preference for intelligence support and targeting assistance but not direct engagement.

Energy Market Implications

The East-West Pipeline is confirmed offline, struck in three locations with pumping stations taken out. Capacity was running at 3–4 million barrels per day. The repair timeline is unclear. Brent front month spiked to \$108/barrel; it has pulled back slightly but is holding above \$100.

Additional upward price pressures include: Chinese crude imports recovering from a low of approximately 5 million barrels per day to 7–8 million barrels per day, with fresh signs of increased spot buying this week; dated Brent reaching as high as \$120/barrel, widening the differential with the front month; and the continued partial closure of the Strait of Hormuz. US diesel prices have broken through the prior nominal record of \$5.82/gallon and are now above \$6/gallon, with continued upward pressure expected. Actual product shortages are unlikely, but price pressure will persist.

Bab el-Mandeb: Tactical Shift, Not Closure

The Houthis now control the southern tip of the Arabian Peninsula and a strategically positioned island approximately 12–14 miles from the African coast. This significantly enhances their ability to harass shipping via missiles, drones, rockets, and remote-controlled explosive boats.

However, the Houthis have stated clearly — and maintained in public comments over the past two days — that they are not attempting to close the waterway. Their stated goal is disrupting Saudi traffic specifically. Declared transits through Bab el-Mandeb continue at 25–35 per day. The risk is to insurance premiums and shipping company willingness to transit, not an immediate blockade.

US-Iran Standoff: No Near-Term Shift

The US is assessed as unlikely to significantly change course before the midterm elections (see Standoff now likely to run through 2026 as Hormuz traffic increases , 1 September 2026). The administration is signaling it will maintain its pressure campaign — sanctions and the oil blockade — while resisting both escalation and negotiation. Iranian demands remain fixed: US acknowledgment of joint Iran-Oman Strait of Hormuz control, return to the June Memorandum of Understanding (MOU), resumption of oil sanctions waivers, release of frozen funds, and lifting of the blockade.

Iranian strategy remains attritional — ratcheting pressure on the US through proxy successes and continued harassment of shipping without crossing into full-scale hostilities. Iranian leadership has signaled willingness to suppress domestic unrest if necessary. The economy is under severe strain — oil exports estimated at 200,000–300,000 barrels per day, negative GDP growth projected for this year and the first half of next — but this is not assessed as sufficient to force concessions. Hardline US rhetoric, including comments around regime change from Treasury Secretary Scott Bessant and presidential threats of military action, is more likely to harden the Iranian position than soften it.

The shuttle service through the Strait of Hormuz continues at 15–25 ships per day, mostly US-escorted. Seven to eight million barrels per day is still moving through. UAE oil flows are essentially back to pre-war levels, aided by ADNOC's acquisition of its own tanker fleet — now reportedly armed with Ukrainian-made anti-drone munitions and UAE special forces — plus the shuttle service and US air cover. UAE hydrocarbon revenues are estimated at approximately 38% above pre-war levels. Other GCC states have been more adversely impacted.

Key Watch Items

1.

Houthi overreach: Whether sustained attacks on Aramco or Bab el-Mandeb shipping cross a threshold that draws direct US military support for Saudi Arabia

2.

East-West Pipeline repair timeline: How quickly Saudi Aramco can restore 3–4 million barrels per day of capacity

3.

GCC-Iran Salalah summit (Monday): Whether it signals a meaningful shift in GCC positioning toward the Oman-Iran Strait management scheme, and any US reaction

4.

Iraqi PMF disarmament deadline (30 September): Assessed as very unlikely to be met; watch for any Saudi or US response to continued PMF threat

5.

US policy sequencing post-midterms: Whether mounting pressure from energy prices, bond markets, and regional setbacks forces Trump toward either escalation or negotiation, and which pathway he chooses

6.

Israeli elections (October): Eurasia Group's base case is a 60% probability that the anti-Netanyahu coalition led by Gadi Eisenkot prevails; watch for coalition formation dynamics and implications for Iran policy and Abraham Accords expansion. (See Israel's opposition will likely win power with a fragile coalition , 9 September 2026.)

What Clients Are Asking

Scope for cash transfers or interim deals with the Houthis: Clients asked whether the US or Saudis might address Houthi grievances through financial arrangements rather than military action. This has happened before — with informed reports of Saudi cash transfers as recently as mid-April — and there is scope for a financial understanding in the current base case, but it requires Houthi compromise on demands that have only grown more maximalist following their military success.

GCC positioning on the Strait and pressure on the US: Clients asked whether the GCC might collectively push the US toward accepting an Iran-Oman Strait management arrangement. Secretary Rubio reportedly stiffened GCC resolve against Iranian control at a Bahrain summit roughly six weeks ago, but the developments in Yemen will shift GCC calculations — particularly for Oman, given the shuttle service runs through its territorial waters. A formal GCC sign-on to an Iran deal on Monday is not the base case, but GCC openness to engagement with Iran is increasing.

Iran's leverage and whether its position has strengthened: Clients probed whether Houthi gains in Yemen materially improve Iran's negotiating hand. It marginally does — the pipeline attack and Bab el-Mandeb positioning add pressure — but Iran's core strategy remains attritional and unchanged. The pendulum of narrative has swung back toward Iran having leverage, but the structural impediments to a deal (US unwillingness to meet Iranian demands) remain in place.

How the US might change course — escalation or negotiation: Short-term jawboning by the White House around the Monday summit is possible and may temporarily cool markets. Beyond that, escalation is somewhat more likely than negotiation given Iranian resolve and US reluctance to offer real concessions. However, US escalatory options are constrained by munitions stockpile concerns and the risk of aggressive Iranian retaliation — a recent Iranian strike on a US base in Jordan reportedly damaged at least nine aircraft following US strikes on tankers. (See US interceptor gaps deepen Iran standoff but have limited Taiwan effect , 2 September 2026.)

LNG supply outlook: Clients asked about Qatar's LNG export situation. The picture remains grim — large LNG tankers are largely unable to transit the Strait — but the UAE has been assisting Qatar in moving some volumes via smaller LNG tankers. This is confirmed by senior UAE and Qatari officials, but the quantities are not known. Meaningful relief on European gas prices requires a durable de-escalation deal, which remains unlikely in the near term.

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